

**Table 24.1** Identification Guidelines

| <b>Characteristic</b>  | <b>Discussion</b>                                                                                                                                                                                                                                                 |
|------------------------|-------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| Appearance             | Price forms higher highs and lower lows (widening appearance), then lower highs and higher lows (narrowing appearance). Trendlines connecting the minor highs and lows resemble a diamond. The diamond need not appear symmetrical and can be tilted to one side. |
| Price trend            | Price trends up to the diamond top. With this definition, diamond tops need not form at the top of a price chart—they can form anywhere. Ignore any overshoot or undershoot a week or two before the pattern starts.                                              |
| Volume                 | Diminishing over the length of the formation. Breakout volume is usually high, and it can continue high for several days. Do not discard a pattern because it shows an unusual volume trend or unusual breakout day volume.                                       |
| Support and resistance | The diamond creates a location for support or resistance. Diamond tops usually show support/resistance near their top, which can last up to a year or more.                                                                                                       |
| Breakout direction     | Price can break out in any direction, but slightly favors a downward breakout.                                                                                                                                                                                    |